World Economic Situation and Prospects

Executive Summary

2026

United Nations

Executive summary

Global economic outlook

Steady but subdued growth amid elevated policy uncertainty

The global economic outlook remains clouded by elevated macroeconomic uncertainties, shifting trade policies, and persistent fiscal challenges. Geopolitical tensions and financial risks add to these pressures, leaving the global economy fragile. In 2025, a sharp increase in United States tariffs created new trade frictions, though the absence of broader escalation helped limit immediate disruptions to international commerce. Despite the tariff shock, global economic activity proved resilient, supported by front-loaded shipments, inventory accumulation, and solid consumer spending amid monetary easing and broadly stable labour markets. Continued macroeconomic policy support is expected to cushion the impact of higher tariffs, but growth in trade and overall activity are likely to moderate in the near term.

Global economic growth, estimated at 2.8 per cent for 2025, is forecast to decline slightly to 2.7 per cent in 2026 before edging up to 2.9 per cent in 2027—remaining well below the pre-pandemic (2010–2019) average of 3.2 per cent. Growth in Europe, Japan, and the United States is projected to hold broadly steady but proceed at a moderate pace, with monetary or fiscal support continuing to underpin demand. Several large developing economies, including China, India, and Indonesia, are expected to continue experiencing solid growth driven by resilient domestic demand or targeted policy measures. However, prospects for many low-income and vulnerable countries remain less favourable.

The near-term outlook reflects a balance of supportive and constraining factors. On the upside, continued disinflation and monetary easing are expected to lower financing costs and sustain domestic demand, while wage gains in several major economies will help bolster private consumption. On the downside, elevated policy uncertainty—while easing from its peak—continues to weigh on business and consumer confidence. High public debt levels and limited fiscal space constrain macroeconomic policy flexibility and limit room for public investment, raising concerns about longer-term growth prospects in many countries.

Meanwhile, rapid advances in artificial intelligence (AI) and clean energy technologies, together with the expansion of digital infrastructure and growing demand for critical minerals, are spurring new waves of investment and innovation. However, such activity remains heavily concentrated in a few major economies with substantial technological and financial capacity, leaving many countries behind and exacerbating existing disparities. From a risk perspective, vulnerabilities persist on both the financial and trade fronts. Elevated asset valuations and rising leverage heighten the risk of abrupt financial corrections, while renewed trade and geopolitical tensions could disrupt global supply chains, capital flows, and exchange rates, adding pressure on vulnerable economies.

Progress towards the Sustainable Development Goals remains insufficient and uneven. Subdued global growth has been accompanied by slower economic convergence, with per capita income growth weakening across many developing economies in recent years—including in the least developed countries (LDCs). The number of people living in extreme poverty (below $3 per day in 2021 purchasing power parity terms), after returning to pre-pandemic levels in 2024, declined only marginally in 2025, with poverty increasingly concentrated in sub-Saharan Africa and in countries facing conflict and fragility. Cost-of-living pressures persist in many countries as rising prices continue to erode real incomes and strain affordability, disproportionately burdening low-income households, rural communities, and women. Economic expansion in 2025 has been accompanied by record carbon emissions and rising environmental pressures, underscoring the persistence of carbon-intensive growth patterns. Climate-related extreme events are becoming more frequent and severe, disrupting agricultural production, driving up food prices, and adding fiscal pressures linked to disaster response and reconstruction.

Broadly stable growth prospects for major economies

In the **United States**, economic growth slowed from 2.8 per cent in 2024 to an estimated 1.9 per cent in 2025 as strong consumer spending and AI-related investment were partly offset by weak residential and commercial construction. Growth is forecast to edge up to 2.0 per cent in 2026 and 2.2 per cent in 2027, supported by expansionary fiscal and monetary policies. Inflation will likely remain above the 2 per cent target in 2026, though it should gradually moderate as tariff effects wane and housing costs stabilize. Downside risks stem from policy uncertainty, a challenging fiscal outlook, and the possibility of sharp corrections in equity markets.

Growth in the **European Union** is projected at 1.3 per cent in 2026 and 1.6 per cent in 2027, compared with estimated growth of 1.5 per cent in 2025. Resilient consumer spending—supported by stable labour markets and rising real wages—remains the main driver of growth, while higher United States tariffs and geopolitical uncertainty will likely weigh on exports. With inflation generally near central bank targets, monetary policy is expected to stay accommodative. However, long-standing structural constraints—including competitiveness pressures, elevated energy costs, population ageing, and slow technological diffusion—continue to limit productivity growth and potential output.

Among the economies of **developed Asia**, growth in **Japan** is forecast at 0.9 per cent for 2026 and 1.0 per cent for 2027, slightly below the 1.2 per cent growth rate estimated for 2025. Private consumption is expected to recover gradually, while exports—particularly of automobiles—will likely remain constrained by higher United States tariffs and policy uncertainty. The Bank of Japan faces a delicate balancing act between containing inflation and sustaining wage growth and domestic demand. **Australia** and the **Republic of Korea** are projected to see a pickup in growth in 2026, underpinned by stronger domestic demand.

In the **Commonwealth of Independent States and Georgia**, growth is projected at 2.1 per cent for 2026, down from 4.6 per cent in 2024 and an estimated 2.2 per cent in 2025. The pace of expansion is expected to pick up slightly, with growth edging up to 2.5 per cent in 2027, but the outlook remains uncertain. Regional performance is diverging, with the Russian Federation experiencing a marked slowdown while Central Asian economies continue to record robust growth. The protracted war in Ukraine continues to weigh heavily on regional macroeconomic conditions and external trade.

Uneven growth momentum across developing regions

The economy of **China** is projected to grow by 4.6 per cent in 2026 and 4.5 per cent in 2027 following an estimated 4.9 per cent expansion in 2025. A temporary easing of trade tensions with the United States—including targeted tariff reductions and a one-year trade truce—has helped stabilize confidence, while policy support is expected to sustain domestic demand. Meanwhile, the country's goods trade surplus exceeded $1 trillion in the first 11 months of 2025, reflecting resilient export growth to markets beyond the United States, including other Asian economies and Europe. Downside risks persist, however, including potential renewed trade frictions, softening external demand, and persistent weakness in the property sector.

In **Africa**, growth is projected to rise modestly from an estimated 3.9 per cent in 2025 to 4.0 per cent in 2026 and 4.1 per cent in 2027, supported by improved macroeconomic stability, rising investment, and stronger consumer demand. Diversification of export partners has provided some resilience against trade disruptions, but the lack of diversification at the product level—for example, in apparel exports—remains a source of vulnerability for some economies. Divergent commodity price trends continue to drive uneven performance across the region. Inflation has moderated but remains elevated in many countries, leading to cautious monetary easing. Limited fiscal space, elevated debt-servicing costs, declining official development assistance (ODA), and ongoing trade uncertainty weigh on the region's outlook.

In **East Asia**, growth is projected to moderate from an estimated 4.9 per cent in 2025 to 4.4 per cent in both 2026 and 2027. Domestic demand should remain resilient—supported by disinflation, monetary easing, and fiscal expansion—as the export boost from front-loading ahead of United States tariff hikes dissipates. Risks are tilted to the downside amid ongoing global policy uncertainty, trade tensions, and weakening demand from major trading partners.

The outlook for **South Asia** remains relatively strong, though growth is projected to moderate from an estimated 5.9 per cent in 2025 to 5.6 per cent in 2026 before recovering to 5.9 per cent in 2027. Trade policy uncertainty and high public debt continue to constrain several economies. In **India**, growth is estimated at 7.4 per cent for 2025 and forecast at 6.6 per cent for 2026 and 6.7 per cent for 2027, supported by resilient consumption and strong public investment, which should largely offset the adverse impact of higher United States tariffs. Recent tax reforms and monetary easing should provide additional near-term support.

In **Western Asia**, growth momentum is expected to strengthen, with GDP projected to expand by 4.1 per cent in 2026 and 4.0 per cent in 2027, up from an estimated 3.4 per cent in 2025. Oil exporters are expected to benefit from the unwinding of OPEC Plus production cuts and continued economic diversification efforts. However, the regional outlook remains vulnerable to geopolitical tensions, ongoing conflicts, and security risks. Growth in **Türkiye** will remain moderate amid subdued demand, policy tightening, and large external financing needs.

In **Latin America and the Caribbean**, the outlook remains broadly resilient, with growth projected to decline slightly from an estimated 2.4 per cent in 2025 to 2.3 per cent in 2026 before edging up to 2.5 per cent in 2027. Stronger private consumption, a gradual investment recovery, and improved financial conditions are supporting economic activity. However, new United States tariff measures, changes in immigration policies in major host countries, and higher shipping costs are creating uneven impacts across the region, reshaping trade flows, supply chains, and remittance patterns.

Growth in the **least developed countries** is projected to rise to 4.6 per cent in 2026 and 5.0 per cent in 2027, up from an estimated 3.9 per cent in 2025 but still below the SDG target of at least 7 per cent. Stronger performance in several large LDCs, including Bangladesh, Ethiopia, and the United Republic of Tanzania, is underpinned by improved macroeconomic stability, robust agricultural output, and favourable commodity prices. However, many smaller LDCs face a challenging outlook, constrained by security concerns, limited fiscal space, and elevated debt. Higher United States tariffs and declining ODA are further weighing on export prospects and development financing.

Growth in the **landlocked developing countries (LLDCs)** is expected to moderate from an estimated 5.3 per cent in 2025 to 4.9 per cent in both 2026 and 2027 amid persistent logistics constraints. Divergent commodity price trends continue to generate uneven impacts across these economies, while remittance inflows provide an important source of support for domestic demand.

In the **small island developing States (SIDS)**, growth is forecast to decrease from an estimated 3.5 per cent in 2025 to 2.8 per cent in both 2026 and 2027. Although SIDS are benefiting from an ongoing tourism recovery, they remain vulnerable to climate shocks, limited economic diversification, elevated debt burdens, and persistent investment gaps.

Easing global inflation, but uneven progress

Global disinflation continued, with headline inflation easing to an estimated 3.4 per cent in 2025 and projected to slow further to 3.1 per cent in 2026. The decline has been driven by lower energy and food prices, more stable exchange rates, and slower nominal wage growth. About 40 per cent of the world's countries saw inflation return to long-term (2010–2019) averages in 2025, yet progress towards central bank targets remains slower than anticipated in several developed and developing economies. Inflation is above central bank targets—or above target ranges where applicable—in more than one third of inflation-targeting economies and is still elevated in parts of Africa and Western Asia. Risks persist, particularly from energy and food price shocks amid lingering geopolitical tensions, ongoing conflicts, and climate-related disruptions.

Resilient trade growth in 2025, but moderation ahead

Global trade remained resilient in 2025, expanding by an estimated 3.8 per cent despite heightened trade policy uncertainty and higher United States tariffs. Growth was supported by robust merchandise trade, boosted by the front-loading of shipments ahead of new tariffs, and by the continued strong expansion of trade in services, particularly in travel, digital, and professional services. However, momentum is expected to soften in 2026, with global trade projected to slow to 2.2 per cent as front-loading effects fade and tariffs become more entrenched.

While tariffs and other protectionist measures have unsettled the international trading environment and heightened uncertainty, global integration remains deep; trade in goods and services still accounts for over 50 per cent of world GDP, and about 72 per cent of goods moved under the World Trade Organization most-favoured-nation (MFN) regime in September 2025.

Beneath the short-term volatility, structural shifts are reshaping global commerce. Firms are diversifying supply chains, relocating production, and expanding South–South trade linkages, while rapid digitalization and technological innovation are driving a growing share of digitally delivered services. These trends are creating new opportunities for developing countries to integrate into emerging segments of global value chains, attract investment in manufacturing and services, and diversify export markets beyond traditional partners. The expansion of regional and digital trade networks offers further potential for inclusive growth and broader participation in global trade.

Overall, these developments indicate a gradual transformation of global trade that goes beyond fragmentation. Risks to the outlook remain two-sided, with potential setbacks from renewed trade tensions, but also upside potential from an easing of trade frictions and stronger regional integration initiatives that could reinforce trade and investment flows.

Subdued global investment momentum

Global investment remained subdued in 2025, constrained by economic uncertainty, geopolitical tensions, and limited fiscal space. Monetary easing and targeted fiscal measures supported investment activity in some economies, while AI-related capital spending provided pockets of strength—particularly in the United States and parts of Europe—as businesses expanded investment in digital infrastructure and advanced technologies.

Investment trends diverged across developing regions. Several Asian economies recorded solid gains, supported by robust export performance and industrial expansion. In contrast, many countries in Africa and Latin America experienced muted investment growth amid tight fiscal conditions, elevated borrowing costs, and policy uncertainty. Foreign direct investment (FDI) also remained sluggish worldwide, reflecting weak business confidence and heightened geopolitical risks.

Broadly stable labour markets

Global labour markets were broadly stable in 2025, with the global unemployment rate holding at an estimated 5 per cent during the year and projected to edge down to 4.9 per cent in 2026. While announcements of higher United States tariffs and heightened trade policy uncertainty initially raised concerns about rising unemployment, the partial rollback later in the year helped ease such pressures. Beneath this overall stability, however, structural challenges persist. Gender gaps in labour force participation remain wide, and unemployment among youth, at more than twice the global average, continues to be a major concern. An estimated 257 million—or one in five—young people worldwide are not in employment, education or training (NEET). In addition, persons with disabilities continue to face significant barriers to employment, underscoring the need for more inclusive labour policies and greater investment in skills and accessibility.

Opportunities and uncertainties surrounding artificial intelligence

AI is emerging as a potential driver of productivity growth. While micro-level evidence shows efficiency gains in selected sectors, the timing and scale of the impact of AI on aggregate productivity remain uncertain and will depend on how quickly firms, workers, and institutions adapt. At the same time, significant country divergences are likely to emerge, reflecting differences in technological readiness, digital infrastructure, and investment capacity. AI adoption may also reshape labour markets, with effects more pervasive across the skill spectrum than in previous rounds of rapid technological change. These rapid developments present both opportunities and challenges. They underscore the importance of complementary policies—to strengthen workforce skills, expand digital infrastructure, and maintain open and competitive markets—as well as the need for international cooperation to ensure that productivity gains are realized, innovation remains inclusive, and existing economic and technological gaps between countries do not widen further.

Robust cross-border portfolio flows, but risks looming

Global financial conditions eased in 2025 as more accommodative monetary policy and a weaker United States dollar supported capital flows. Cross-border liquidity expanded with the strengthening of bank lending and renewed portfolio flows to developing economies. However, markets remain vulnerable to shocks amid subdued global growth and policy uncertainty. Equity markets posted solid gains driven largely by the performance of technology stocks, but valuations appear stretched at times, raising the risk of market corrections. Borrowing costs declined for countries with stronger credit profiles, whereas lower-rated sovereign borrowers continued to face elevated financing costs. At the same time, vulnerabilities in non-bank financial institutions—including limited transparency in their lending activities—are adding to systemic risk.

ODA flows are projected to decline further in 2026 and 2027 following announced reductions by major donors. If the cuts are implemented, ODA could fall back to 2020 levels by 2027, threatening support for humanitarian programmes and essential public services—with LDCs and sub-Saharan African countries facing the largest proportional declines. Meanwhile, workers' remittances remain a resilient and vital source of external finance for many developing countries, though their outlook is clouded by tightening immigration policies and persistently high transfer costs.

Continued easing of monetary policy

Global monetary easing continued through 2025 as moderating inflation, robust cross-border capital flows, and reduced depreciation pressures provided policy space for many central banks. By November 2025, roughly two thirds of central banks worldwide were in an easing cycle, with the trend most pronounced in developed economies and in developing economies across Asia and Latin America. Nonetheless, policy rates in many countries remain above pre-pandemic levels, and further cuts in 2026 are expected to proceed gradually. Risks of renewed inflation or currency volatility are likely to complicate the final stage of the disinflation cycle in many countries.

Growing fiscal spending demands, but limited room to manoeuvre

Fiscal conditions remain challenging across both developed and developing countries as policy uncertainty, subdued growth, and the lingering effects of recent shocks weigh on revenues and complicate consolidation efforts. In many developed and several large developing economies, fiscal spending has increased to promote strategic priorities, including industrial policy and technological innovation, energy security, defence, and responses to population ageing. By contrast, many developing and low-income countries face limited fiscal space, rising debt vulnerabilities, and declining development assistance, constraining essential spending. These pressures are likely to persist into 2026, keeping fiscal risks elevated and narrowing room for countercyclical policy responses.

Reinvigorating international cooperation for development

The international community faces a fragmented global landscape marked by geopolitical tensions, protectionism, and weakening trust in multilateral solutions. Mounting conflicts, intensifying competition over technologies and critical resources, and declining ODA strain global cooperation. These challenges underscore the urgent need to rebuild trust and renew the commitment to collective action in pursuit of shared prosperity and sustainability.

In 2025, several major international initiatives were launched, injecting new momentum into multilateral cooperation. The Sevilla Commitment, adopted at the Fourth International Conference on Financing for Development, provides a renewed agenda to mobilize investment at scale, reform the global financial architecture, and enhance debt sustainability and domestic resource mobilization. It includes measures to strengthen the financial safety net, promote the use of state-contingent debt instruments, and expand access to long-term, affordable finance. The Doha Political Declaration, the outcome of the Second World Summit for Social Development, reaffirms the global commitment to poverty eradication, decent work, and social inclusion, emphasizing skills development, digital access, and the empowerment of women, youth, and marginalized groups. Adopted at COP30, the Belém Package advances climate action, pledging to triple adaptation finance by 2035 and launch the Just Transition Mechanism to support workers and communities.

Progress has also continued in trade and technology governance, with efforts to revitalize the WTO and the implementation of United Nations-led initiatives on AI governance promoting equitable, science-based policymaking.

Together, these developments demonstrate that despite divergences, collective solutions remain possible, but turning ambition into action will require coordinated implementation, adequate financing, and sustained political will to realize a more inclusive and resilient global future.

Inflation and price dynamics in a fragile global economy

Persistent shadows of the 2021–2023 inflation surge

High prices and inflation remain defining concerns across countries and regions, shaping not only economic conditions but also social and political dynamics. Global inflation has eased from its 2021–2023 peak—declining from 7.9 per cent in 2022 to an estimated 3.4 per cent in 2025—but remains above the pre-pandemic average of 2.8 per cent. Recent price increases have added to the sharp surges of previous years, including for essentials such as food, energy, and housing, leaving the overall cost of living persistently high. These cumulative pressures have eroded real incomes and strained household budgets, with the impact falling disproportionately on low-income, rural, and female-headed households. For Governments, higher service-delivery costs compound budgetary strains and limit long-term investment in infrastructure and social development.

A more volatile and uneven inflation landscape

The inflation shock of 2021–2023 revealed how quickly global disruptions can reshape price dynamics. The fallout from the pandemic, conflicts, climate extremes, and renewed trade frictions created a series of supply bottlenecks, pushed up input and transport costs, and strained energy markets. In some economies, strong demand and expansionary macroeconomic policies further amplified these pressures.

Inflation volatility and uncertainty have since become key features of the global landscape. Significant swings in the prices of food, energy, freight, and intermediate goods have made inflation more difficult to forecast and manage. Disruptions once viewed as temporary now interact with rising input costs, labour shortages, and fragile logistics systems, blurring the line between transitory and persistent inflation.

Local conditions will likely have a stronger influence on inflation dynamics in the period ahead. Differences in fiscal stances, labour market tightness, exchange-rate pass-through, and sectoral structures are driving a divergence in the inflation outlook across countries. Many developed economies face persistent services and housing inflation, while numerous developing countries—particularly food- and fuel-importing economies—continue to experience elevated overall price pressures. In contrast, parts of East Asia have maintained subdued inflation, supported by integrated value chains and anchored expectations.

Long-term structural shifts shaping inflation dynamics

Long-term structural shifts are creating new risks and intensifying supply-side pressures that could keep inflation volatile and difficult to control. Geopolitical fragmentation is disrupting trade and investment patterns, raising input costs, and increasing exposure to regional shocks. Climate change heightens price volatility by damaging crops, straining energy systems, and undermining infrastructure resilience.

Demographic changes and labour-market constraints add further risk. Ageing populations and tighter migration policies are fuelling labour shortages and wage pressures in some economies, while slower population growth weakens demand in others. Meanwhile, technological transitions—including rapid advances in AI—may deliver medium-term productivity gains but could also bring short-term disruptions, skills mismatches, and higher energy demand, adding to inflationary pressures.

Together, these factors increase the persistence and unpredictability of inflation, underscoring the importance of coordinated policy responses that bolster supply resilience and promote productive investments.

Inflation undermining sustainable development and inclusion

Persistent inflation is deepening poverty, widening inequality, and heightening social vulnerability. Rising prices for food, energy, and housing disproportionately affect low-income and rural households, who spend a larger share of their income on essentials and often face higher effective inflation because lower-cost goods tend to rise faster in price while their nominal incomes remain stagnant or rise relatively slowly. Food inflation has particularly severe effects: when prices surge, households cut back on the quantity and quality of their diets, increasing risks of malnutrition, stunting, and long-term health deficits. These consequences fall especially heavily on children, who are vulnerable to nutritional deprivations, and on women, who face slower wage adjustments, unequal resource allocations within households, greater unpaid-care responsibilities, and heightened exposure to precarious work.

Elevated price levels also weigh on well-being and economic decision-making. As real wages lag behind prices, households—especially those with limited savings or access to credit—can reprioritize spending, reducing non-essential consumption and delaying major decisions on education, training, small-business investment, or other opportunities for advancement. Persistent affordability pressures have intensified household stress and heightened demands for social protection. When sustained, these pressures erode living standards, fuel social tensions, and increase the risk of instability, particularly in vulnerable or fragile economies.

Inflation volatility and uncertainty tend to undermine long-term growth prospects. When price signals are unstable, firms delay investment, weakening productivity growth, innovation, and technological upgrading. Heightened uncertainty raises risk premiums and borrowing costs, while tighter financial conditions disproportionately limit credit access for smaller firms. Unanchored or more reactive inflation expectations can amplify these effects, as households and firms adjust prices and wages in anticipation of future increases, making inflation more persistent and costly to reverse. Governments, meanwhile, face rising expenditure pressures—from indexed benefits and subsidies to essential public services—even as temporary revenue gains fade once spending adjusts. These dynamics erode fiscal capacity, intensify debt vulnerabilities, and threaten progress towards the Sustainable Development Goals—particularly those relating to poverty reduction, food security, health, decent work, and reduced inequality.

A new policy approach for managing inflation

Stabilizing inflation amid recurrent supply shocks requires a more integrated and forward-looking approach. The recent inflation episode exposed vulnerabilities—manifested in slow wage adjustments, uneven pass-through from international to domestic markets, heightened uncertainty, and repeated disruptions in food, energy, and logistics—that made price pressures more persistent. Alongside falling real wages and incomes, these factors underscore that containing inflation requires more than short-term demand-management measures.

Monetary policy remains central to anchoring expectations and preserving the credibility of macroeconomic governance. Yet central banks now operate amid frequent supply shocks, fragile global linkages, and more sensitive inflation dynamics. Distinguishing between temporary and persistent price pressures can be difficult, complicating interest rate decisions. At the same time, elevated public and private debt, financial sector vulnerabilities, and evolving labour-market dynamics make the transmission of monetary policy less predictable. Overly rapid tightening can weaken recoveries and raise financial risks, particularly in developing countries, while late or insufficient tightening can entrench inflation and erode policy credibility. Clear communication, targeted macroprudential measures, and stronger monetary–fiscal coordination are therefore essential to balance inflation control with financial stability and growth objectives.

Fiscal policy is vital to cushioning the social costs of inflation and supporting macroeconomic stability. Well-targeted and temporary measures can protect vulnerable households and preserve social cohesion, while broad subsidies that are fiscally costly and create economic distortions are better avoided. In high-inflation environments, fiscal consolidation that preserves priority spending can complement monetary tightening and strengthen overall policy effectiveness. Over the medium term, credible fiscal frameworks—supported by robust fiscal rules, broader tax bases, and more efficient public spending—are essential to rebuilding buffers and preserving policy space.

Industrial and sectoral policies are key to addressing supply-side drivers of inflation. Persistent bottlenecks in food, energy, transport, and critical manufacturing inputs have exposed vulnerabilities in global value chains. Well-designed industrial strategies can help ease these constraints by expanding domestic production capacity, strengthening storage and logistics systems, and promoting innovation in strategic sectors. Well-designed buffer stocks and strategic reserves of essential commodities such as grains, fertilizers, and energy products can mitigate the impact of future shocks. Investment in renewable energy, climate-resilient agriculture, and low-carbon technologies further enhances long-term supply resilience and supports a more stable inflation environment.

Effective inflation management requires close coordination across policy domains and time horizons: monetary policy provides near-term stabilization; fiscal policy bridges the short and medium terms by supporting macroeconomic stability and protecting vulnerable households; and industrial and structural policies strengthen productive capacity and supply resilience, contributing to long-term price stability. Aligning these tools ensures that disinflation efforts do not come at the cost of social cohesion, investment, or development progress.

Global cooperation supporting price stability

Price shocks can spread rapidly across borders through energy, food, transport, and financial markets, making international cooperation increasingly vital to keeping living costs manageable. Improved communication among central banks can strengthen policy coordination and prevent unnecessary currency volatility. Expanding access to liquidity backstops such as swap lines and temporary financing facilities would mitigate spillovers and support economies currently outside existing safety nets.

Concessional finance and technical assistance are critical for helping vulnerable economies manage balance-of-payments pressures, stabilize food and energy markets, and strengthen monetary and fiscal frameworks. Beyond short-term relief, sustained investment in storage, processing, and distribution infrastructure can reduce exposure to global price volatility. Regional mechanisms, including buffer stocks, strategic reserves, and cross-border infrastructure, can cushion shocks and lower import dependence. Long-term resilience also depends on investments in climate-resilient food systems, renewable energy, and efficient logistical corridors. As climate shocks intensify and supply-chain disruptions become more frequent, stronger international cooperation will be essential to strengthen early warning systems and close adaptation financing gaps.

Economic prospects for 2026: key messages

Global growth remains subdued amid high macroeconomic uncertainty and persistent structural headwinds. While the world economy has demonstrated resilience, ongoing trade tensions, geopolitical risks, and fiscal strains continue to weigh on the outlook. Slow growth, limited fiscal space, and weakening multilateral cooperation are undermining progress towards the Sustainable Development Goals, underlining the need for renewed collective action to address persistent and emerging challenges relating to financing for development, climate, trade, and social inclusion. Many LDCs, LLDCs, and SIDS remain particularly constrained by debt burdens, limited policy space, and exposure to external shocks, highlighting the need for stronger international support to foster resilient and sustainable growth. Although inflationary pressures are easing, elevated prices continue to put a strain on households and reinforce inequalities, while geopolitical fragmentation, trade frictions, and climate-related risks add uncertainty to the inflation outlook.

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